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DUE TO THE combined impact of the government's emphasis on public sector undertakings (PSUs), coupled with a thrust on infrastructure, sectoral mutual funds ended up receiving significant attention from investors last year.

This is evident from the fact that more than 19% of the funds invested in equity schemes were directed towards sectoral and thematic funds last year.

These mutual fund schemes experienced an inflow of ₹30,841 crore, second only to small-cap mutual funds, which received a net inflow of ₹41,035 crore, or over 25% of the total equity inflows. Fund managers anticipate that sectoral funds will continue to attract robust flows, and sectors such as infrastructure, banking, housing, pharmaceuticals, and manufacturing appear promising for the next two to three years.

THE JOURNEY SO FAR

It is interesting to see that PSU funds outpaced other categories for the second straight year in 2023. On an average, mutual funds that zero in on public sector enterprises delivered 59.22% returns to investors last year and 26.51% in 2022. "The outperformance of the PSU space can be attributed to segments like PSU banks and defence," says Vrijesh Kasera, Fund Manager at Mirae Asset Investment Managers (India). He adds that given the sharp run-up in both the segments, the valuations look expensive with respect to their historical averages. "While the rally may continue in the short-term, the earnings in both the segments will have to match up to justify the prevailing valuations."

Among the top mutual funds in the PSU category, the net asset values (NAV) of Aditya Birla Sun Life PSU Equity Fund, Invesco India PSU Equity Fund, SBI PSU Fund and ICICI Prudential PSU Equity Fund gained somewhere between 55-62% in 2023.

For Rishiraj Maheshwari, Founder and CEO of RISCH Wealth & RISCH Family Office, the reason

Sectoral Appeal



In 2023, a significant portion of the investment in equity schemes was allocated to sectoral and thematic funds, amounting to more than 19%



According to fund managers, sectors such as infrastructure, banking, housing, pharmaceuticals, and manufacturing are expected to perform well over the next two to three years



For the second consecutive year in 2023, PSU funds outperformed other categories



The government's thrust on infra is expected to drive the capex cycle, thus providing support for infrastructure funds



Following a nearly 10% decline, pharmaceutical funds made a remarkable comeback in 2023



"One key theme is urbanisation. Today, 36% of households stay in an urban setting. As this ratio increases, demand for real estate, social, and other urban infrastructure will also increase."

ANISH TAWAKLEY
DEPUTY CIO-EQUITY,
ICICI PRUDENTIAL AMC